The beginnings of British political sway over India may be traced to the battle of Plassey in 1757, when the English East India Company's forces defeated Siraj-ud-Daulah, the Nawab of Bengal. The earlier British struggle with the French in south India had been but a dress rehearsal. The lessons learnt there were profitably applied in Bengal.

Bengal was the most fertile and the richest of India's provinces. Its industries and commerce were well developed. The East India Company and its servants had highly profitable trading interests in the province. The Company had secured valuable privileges in 1717 under a royal *farman* by the Mughal emperor, which had granted the Company the freedom to export and import their goods in Bengal without paying taxes and the right to issue passes or *dastaks* for the movement of such goods. The Company's servants were also permitted to trade but were not covered by this *farman.* They were required to pay the same taxes as Indian merchants. This *farman* was a perpetual source of conflict between the Company and the Nawabs of Bengal. For one, it meant loss of revenue to the Bengal government. Second, the power to issue *dastaks* for the Company's goods was misused by the Company's servants to evade taxes on their private trade. All the Nawabs of Bengal, from Murshid Quli Khan to Alivardi Khan, had objected to the English interpretation of the *farman of* 1717. They had compelled the Company to pay lump sums to their treasury, and firmly suppressed the misuse of *dastaks.* The Company had been compelled to accept the authority of the Nawabs in the matter, but its servants had taken every opportunity to evade and defy this authority.

Matters came to a head in 1756 when the young and quick tempered Siraj-ud-Daulah succeeded his grandfather, Alivardi Khan. He demanded of the English that they should trade on the same basis as in the times of Murshid Quli Khan. The English refused to comply as they felt strong after their victory over the French in south India. Instead of agreeing to pay taxes on their goods to the Nawab, they levied heavy duties on Indian goods entering Calcutta which was under their control. All this naturally annoyed and angered the young Nawab who also suspected that the Company was hostile to him and was favouring his rivals for the throne of Bengal. The breaking point came when,